Commerce Commission might be expected to prevent any misrepresentation of earnings.

Examples: In 1925 Western Pacific Railroad *Corporation* paid dividends of $7.56 upon its preferred stock and $5 upon its common stock. Its income account showed earnings slightly exceeding the dividends paid. These earnings consisted almost entirely of dividends aggregating $4,450,000 received from its operating subsidiary, the Western Pacific Railroad *Company*. The year's earnings of the railroad, itself, however, were only $2,450,000. Furthermore its accumulated surplus was insufficient to permit the larger dividend that the parent company desired to report as its income for the year. To achieve this end, the parent company went to the extraordinary lengths of *donating* the sum of $1,500,000 to the operating company, and it immediately took the same money back as a *dividend* from its subsidiary. The donation it charged against its *surplus;* the receipt of the same money as dividends it reported as *earnings*. In this devious fashion it was able to report $5 "earned" upon its common stock, when in fact the applicable earnings were only about $2 per share.

In support of our previous statement that bad accounting practices are contagious, we may point out that the Western Pacific example of 1925 was followed by the New York, Chicago, and St. Louis Railroad Company ("Nickel Plate") in 1930 and 1931. The details are briefly as follows:

In 1929 Nickel Plate sold, through a subsidiary, its holdings of Pere Marquette stock to Chesapeake and Ohio, which was under the same control. A profit of $10,665,000 was realized on this sale, which gain was properly credited to surplus. In 1930 Nickel Plate needed to increase its income; whereupon it took the $10,665,000 profit out of its surplus, returned it to the subsidiary's treasury and then took $3,000,000 thereof in the form of a "dividend" from this subsidiary, which it included in its 1930 *income*. A similar dividend of $2,100,000 was included in the income account for 1931.

These extraordinary devices may have been resorted to for what was considered the necessary purpose of establishing a net income large enough to keep the company's bonds legal for trust-fund investments.[10]

[10] For an extreme example of this kind see the annual reports of Wabash Railway Company and Ann Arbor Railroad Company for 1930 and the comment thereon at p. 1022 of *Moody's*